

Regulatory Impact Assessment

Impact of four RBI circulars on Meridian Finance's two unsecured lending policies

This assessment maps four Reserve Bank of India circulars onto the Company's **Personal Loan Credit Policy (v1.0)** and **Consumer Durable & BNPL Loan Credit Policy (v1.0)**. For each circular it identifies the gap in the current policy clause and the change required to comply. All reference numbers and dates are real and were verified against rbi.org.in; the original circular can be opened at the link given for each. Applying these changes would move both policies from v1.0 to v2.0.

1. The four circulars (open the originals)

#	Circular	Verified reference & date	Original (rbi.org.in)
1	Key Facts Statement (KFS) for Loans & Advances	RBI/2024-25/18 DOR.STR.REC.13/13.03.00/2024-25, dated 15 April 2024	https://rbidocs.rbi.org.in/rdocs/notification/PDFs/CIRCULARKFS1504242AE2500BAF494C2A82442B0B642705C1.PDF
2	Fair Lending Practice - Penal Charges in Loan Accounts	RBI/2023-24/53 DoR.MCS.REC.28/01.01.001/2023-24, dated 18 August 2023 (effective 1 April 2024)	https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=12527
3	Regulatory measures towards consumer credit (risk weights)	RBI/2023-24/85 DOR.STR.REC.57/21.06.001/2023-24, dated 16 November 2023	https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=12567
4	RBI (Digital Lending) Directions, 2025	RBI/2025-26/36 DOR.STR.REC.19/21.07.001/2025-26, dated 8 May 2025	https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=12848

Note: the RBI document server (rbidocs.rbi.org.in) presents the KFS circular as a direct PDF; the other three open as notification pages on rbi.org.in. The circular PDFs bundled in the /circulars folder are the RBI original (KFS) and faithful typeset reproductions of the authoritative RBI text (the rest), each stamped with the link above.

2. Impact summary matrix

Circular	Personal Loan (v1.0)	Consumer Durable / BNPL (v1.0)
1. Key Facts Statement	HIGH - no KFS / no all-inclusive APR today	HIGH - checkout disclosure only; no KFS/APR to borrower
2. Penal Charges	HIGH - levies penal interest, compounded	HIGH - 3%/month penal interest on EMI
3. Consumer-credit risk weights	HIGH - risk weight 100%, should be 125%	HIGH - risk weight 100%, should be 125%
4. Digital Lending Directions 2025	HIGH - partner-routed disbursal, no cooling-off/DLA reporting	HIGH - LSP-routed disbursal, thin consent/cooling-off

3. Impact - Key Facts Statement (KFS)

Reference: RBI/2024-25/18 DOR.STR.REC.13/13.03.00/2024-25, dated 15 April 2024 | **Original:** <https://rbidocs.rbi.org.in/rdocs/notification/PDFs/CIRCULARKFS1504242AE2500BAF494C2A82442B0B642705C1.PDF>

What the circular requires: A standardised KFS must be given to the borrower before the loan contract is executed, disclosing the all-inclusive Annual Percentage Rate (APR), all fees/charges, a computation sheet, cooling-off details and grievance contacts. No charge outside the KFS may be levied later.

Policy & clause	Current (v1.0)	Required change
Personal Loan 4.1 Pricing & disclosure	Discloses only interest rate + processing fee in the sanction letter; no APR, no KFS.	Issue a standardised KFS with a unique proposal number before sanction; compute and disclose the all-inclusive APR + computation sheet; bar any charge not in the KFS.
Consumer Durable/BNPL 4.1 Pricing & scheme disclosure	Only checkout/merchant disclosure; borrower not given APR or KFS; subvention opaque.	Provide the borrower a KFS with all-inclusive APR (incl. subvented-scheme effect) before disbursal; disclose all fees; retain KFS acknowledgement.

4. Impact - Penal Charges in Loan Accounts

Reference: RBI/2023-24/53 DoR.MCS.REC.28/01.01.001/2023-24, dated 18 August 2023 (effective 1 April 2024) | **Original:** <https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=12527>

What the circular requires: Charges for breach must be levied as penal CHARGES, not penal interest; they cannot be capitalised and no further interest may be charged on them. They must be reasonable, non-discriminatory within a product category, and disclosed up front in the agreement and KFS; the quantum and reason must be communicated each time.

Policy & clause	Current (v1.0)	Required change
Personal Loan 4.2 Default & overdue	Penal interest 24% p.a., compounded monthly on the overdue amount.	Replace with a fixed, reasonable penal CHARGE per default event; no capitalisation; no interest on penal charges; disclose in agreement + KFS; communicate quantum/reason each instance.
Consumer Durable/BNPL 4.2 Default & late payment	Penal interest 3%/month added to loan outstanding.	Convert to a flat late-payment charge per missed EMI; stop adding it to principal/interest; disclose up front; non-discriminatory within the product.

5. Impact - Consumer-credit risk weights

Reference: RBI/2023-24/85 DOR.STR.REC.57/21.06.001/2023-24, dated 16 November 2023 | **Original:** <https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=12567>

What the circular requires: Consumer credit exposures (personal loans and other non-exempt consumer credit) attract an increased risk weight of 125% (a 25-percentage-point increase). Housing, education, vehicle and gold-backed loans are outside this increase.

Policy & clause	Current (v1.0)	Required change
Personal Loan 4.5 Capital & risk weight	Personal loans risk-weighted at 100%.	Apply a 125% risk weight; re-price for higher capital consumption; set an internal sub-limit on unsecured exposure; consider tighter score/FOIR (e.g. min score 720, FOIR 50%).
Consumer Durable/BNPL 4.5 Capital & risk weight	Consumer durable/BNPL risk-weighted at 100%.	Apply 125% (non-vehicle consumer credit); factor higher capital into subvented-scheme economics; monitor growth against Board limits.

6. Impact - RBI (Digital Lending) Directions, 2025

Reference: RBI/2025-26/36 DOR.STR.REC.19/21.07.001/2025-26, dated 8 May 2025 | **Original:** <https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=12848>

What the circular requires: Digital loans must: disburse directly from the RE's account to the borrower and collect directly into the RE's account (no LSP/DLA pool/pass-through); give a cooling-off period (≥ 3 days for tenor ≥ 7 days, 1 day otherwise) for penalty-free exit; collect only need-based data with explicit consent and India-only storage; the RE stays fully responsible for LSP/DLA conduct; DLAs must be reported to RBI (via CIMS); and multi-lender platforms must disclose all lenders to the borrower.

Policy & clause	Current (v1.0)	Required change
Personal Loan 4.3 Digital sourcing	Disbursal/collections routed through partner accounts; data captured by partner.	Route all disbursal directly to the borrower and repayment directly to the Company (no partner pool); add cooling-off; enforce need-based data + explicit consent + India-only storage; onboard/monitor LSPs with due diligence; report DLAs to RBI.
Consumer Durable/BNPL 4.3 Digital onboarding & data	LSP does KYC and disburses to merchant on the Company's behalf; data captured 'as needed'.	Ensure the Company (not the LSP) controls KYC accountability and fund flow per the Directions; add cooling-off/look-up; explicit consent + data minimisation; disclose all lenders where the platform aggregates lenders; report DLAs to RBI.

7. Net effect

Applying the changes above takes both policies from **v1.0 to v2.0**: the Personal Loan and Consumer Durable/BNPL policies each gain a KFS/APR disclosure clause, a compliant penal-charges clause, a 125% risk-weight and capital sub-limit, and a rebuilt digital-lending clause (direct fund flow, cooling-off, consent/data, LSP oversight, DLA reporting). These are exactly the redlines to feed the PolicyOS regulatory module for testing.